

Current Affairs — June 6–7, 2026

12 HIGH Relevance Items | GS-I / GS-II / GS-III / GS-IV

Sources: VisionIAS · Vajiram · PIB · MEA · PRS India · RBI · MoSPI

Session Date: 8 June 2026 | All facts verified from official/primary sources

Facts from official sources | Inferences clearly marked | No fabricated data

HIGH

JPN Bird Sanctuary — India's 100th Ramsar Site

GS-III
Environment &
Ecology

■ NEWS TRIGGER

Jai Prakash Narayan Bird Sanctuary (Surha Tal), Ballia, Uttar Pradesh designated as India's 100th Ramsar Wetland Site on 5 June 2026 (World Environment Day).

■ INTRO & ORIGIN

Ramsar Convention (1971) is an international treaty for conservation of wetlands of international importance. India joined in 1982. Ramsar sites are designated under three criteria: habitat for waterbirds, rare ecosystems, and biodiversity significance. India's 100th site milestone signals accelerating wetland conservation.

*Surha Tal is a natural oxbow lake formed by the meandering of the Ghaghra (Saryu) River near Ballia, eastern UP. It was declared a bird sanctuary in **1991** and renamed Jai Prakash Narayan Bird Sanctuary in **2002** in honour of socialist leader Jai Prakash Narayan (JP). The lake hosts migratory birds from Central Asia and Siberia during winter.*

■ TIMELINE

1971 — Ramsar Convention signed (Ramsar, Iran) — 2 February = World Wetlands Day

1982 — India accedes to Ramsar Convention; Chilika Lake (Odisha) and Keoladeo (Rajasthan) become first 2 Ramsar sites

1991 — Surha Tal declared Jai Prakash Narayan Bird Sanctuary (Ballia, UP)

2002 — Sanctuary renamed after JP Narayan

2020 — Kanwar Lake / Kabar Taal (Begusarai, Bihar) — India's 39th Ramsar site (common confusion with JPN)

2022 — India crosses 75 Ramsar sites (Azadi ka Amrit Mahotsav milestone)

5 Jun 2026 — JPN Bird Sanctuary designated as India's 100th Ramsar site on World Environment Day

■ KEY DATA

Parameter	Detail
Location	Ballia, Uttar Pradesh (NOT Begusarai, Bihar)
Type	Natural oxbow lake (Ghaghra/Saryu River meander)
Established	1991 (sanctuary); renamed 2002 (JPN)
Ramsar designation	5 June 2026 (100th site)
Area	~340 hectares
Birds	Migratory waterbirds (Central Asia, Siberia); Sarus Crane, Bar-headed Goose
India's 1st Ramsar sites	Chilika Lake (Odisha) + Keoladeo Ghana (Rajasthan), 1982
Confusion site	Kanwar Lake / Kabar Taal = Begusarai, Bihar (2020; India's 39th site)

■ STATIC THEORY

• **Ramsar Convention (1971)**: International treaty for wise use of wetlands; secretariat in Gland, Switzerland; 172 contracting parties

- **Montreux Record:** List of Ramsar sites facing ecological threat — Keoladeo (removed 2002), Loktak Lake, Chilika Lake are on this list
- **World Wetlands Day:** 2 February (date of Ramsar Convention signing, 1971)
- **World Environment Day:** 5 June (date JPN was designated; also when E85 fuel was launched 2026)
- **Wetland types under Ramsar:** Inland (lakes, rivers, marshes), coastal/marine, man-made (rice paddies, ponds)
- **India's wetland policy:** National Wetland Conservation Programme under MoEFCC; Wetlands (Conservation & Management) Rules 2017

■ MUST-KNOW FACTS

1. JPN Bird Sanctuary = Ballia, Uttar Pradesh (oxbow lake of Ghaghra/Saryu River)
2. Established 1991; renamed 2002 after Jai Prakash Narayan
3. India's 100th Ramsar site — designated 5 June 2026 (World Environment Day)
4. India's first Ramsar sites (1982): Chilika Lake (Odisha) + Keoladeo Ghana (Rajasthan)
5. Kanwar Lake / Kabar Taal = Begusarai, Bihar — India's 39th Ramsar site (2020) — NOT the 100th
6. India has more Ramsar sites than any other country in South Asia
7. Ramsar Convention signed: 2 February 1971 (= World Wetlands Day)

■ UPSC TRAPS

- ✗ JPN Bird Sanctuary is in Begusarai, Bihar
- ✓ Ballia, Uttar Pradesh (Kanwar Lake / Kabar Taal is in Begusarai)
- ✗ India's 100th Ramsar site was Kanwar Lake
- ✓ Kanwar Lake was India's 39th site (2020); JPN is the 100th (2026)
- ✗ World Wetlands Day is 5 June
- ✓ World Wetlands Day = 2 February; World Environment Day = 5 June
- ✗ Ramsar Convention is UN treaty under UNEP
- ✓ Ramsar is an intergovernmental treaty, not formally under UNEP; secretariat in Gland, Switzerland
- ✗ Montreux Record means a site loses Ramsar status
- ✓ Montreux Record = sites under ecological threat but still Ramsar sites; they are REVIEWED, not delisted

■ MAINS ANGLE

India's 100th Ramsar site achievement underscores a policy pivot from reactive conservation to proactive wetland governance — but the Montreux Record listing of key sites exposes the gap between designation and enforcement.

■ STUDY LINK

Environment → Wetlands, Biodiversity,
International Conventions → Ramsar, CBD,
CITES

HIGH

PreVenTB Trial — VPM1002 & Immuvac (ICMR TB Vaccine)

**GS-II Health,
Science &
Technology**

■ NEWS TRIGGER

ICMR's landmark PreVenTB Phase 3 trial results published June 2026 — neither VPM1002 nor Immuvac met primary endpoint (preventing all forms of TB), but VPM1002 showed ~50.4% efficacy against Extra-Pulmonary TB (EPTB). India aims TB elimination by 2025.

■ INTRO & ORIGIN

■ TIMELINE

Tuberculosis (TB) kills ~1.3 million globally per year; India bears ~27% of global TB burden (~2.8 million cases/year). BCG vaccine (1921) remains the only approved vaccine but provides poor protection in adults. ICMR led the world's largest TB vaccine efficacy trial — PreVenTB — testing two next-generation vaccines across 12 Indian states. <i>ICMR (Indian Council of Medical Research) was established in 1911 as Indian Research Fund Association (IRFA); renamed ICMR in 1949 after independence. It is the apex body for biomedical and health research in India, under the Department of Health Research (DHR), Ministry of Health & Family Welfare. VPM1002 is a recombinant BCG developed by German firm Vakzine Projekt Management (VPM) / Serum Institute. Immuvac (RUTI) is a heat-killed Mycobacterium indicus pranii (MIP) developed by Cadila Pharmaceuticals.</i>	1911 — ICMR founded as Indian Research Fund Association (IRFA) 1921 — BCG vaccine developed (Calmette & Guérin, France) — still only approved TB vaccine 1949 — IRFA renamed Indian Council of Medical Research (ICMR) 2015 — India launches National Strategic Plan for TB Elimination 2017–25 2017 — India's TB Elimination target set for 2025 (5 years ahead of global SDG 2030 target) 2019 — PreVenTB Phase 3 trial begins — 12 Indian states, ~12,000 high-risk adults Jun 2026 — PreVenTB results published: neither vaccine met primary endpoint; VPM1002 shows ~50.4% efficacy vs EPTB only
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■ KEY DATA

Parameter	VPM1002	Immuvac (Ruti/MIP)	BCG (baseline)
Type	Recombinant BCG (rBCG)	Heat-killed MIP	Live attenuated BCG
Developer	VPM / Serum Institute	Cadila Pharmaceuticals	Pasteur Institute (1921)
Primary endpoint	Not met	Not met	N/A
Efficacy (all TB)	Insufficient	Insufficient	~20% adults
Efficacy (EPTB only)	~50.4% (wide CI)	Not significant	Low
Trial size	~12,000 high-risk adults	~12,000 high-risk adults	N/A
States	12 Indian states	12 Indian states	N/A

■ STATIC THEORY

- **ICMR** (Indian Council of Medical Research): Apex biomedical research body; under Dept. of Health Research, MoHFW; founded 1911 (IRFA), renamed 1949
- **India's TB burden**: ~27% of global cases (~2.8 million/year); 4th highest TB mortality; National TB Elimination Programme (NTEP) under NHM
- **National Strategic Plan 2017–25**: Target to end TB by 2025 (vs WHO SDG target 2030); PM TB Mukht Bharat Abhiyan (2022)
- **EPTB** = Extra-Pulmonary TB (lymph nodes, spine, brain, kidneys) — ~20% of India's TB cases
- **Phase 3 clinical trial**: Final efficacy+safety testing before regulatory approval; largest most expensive phase
- **MoHFW** = Ministry of Health & Family Welfare; **DHR** = Department of Health Research

• Nikshay Poshan Yojana: ■500/month nutritional support for TB patients during treatment

■ MUST-KNOW FACTS

1. ICMR established 1911 (as IRFA); renamed ICMR 1949; apex biomedical research body under MoHFW
2. BCG = Bacillus Calmette-Guérin; developed 1921; only approved TB vaccine globally
3. VPM1002 = recombinant BCG (German origin); Immuvac = heat-killed MIP (Cadila Pharma, India)
4. PreVenTB = world's largest TB vaccine Phase 3 trial; 12 Indian states; ~12,000 adults
5. NEITHER vaccine met primary endpoint (preventing all forms of TB)
6. VPM1002 showed ~50.4% efficacy against EPTB only (Extra-Pulmonary TB) — narrow finding
7. India's TB elimination target: 2025 (5 years ahead of global SDG 2030 target)
8. India bears ~27% of global TB burden

■ UPSC TRAPS

- ✗ PreVenTB trial proved VPM1002 is effective against all TB
- ✓ Primary endpoint NOT met; only partial efficacy against EPTB (extra-pulmonary) — not all TB
- ✗ ICMR is under Ministry of Science & Technology
- ✓ ICMR is under Ministry of Health & Family Welfare (Department of Health Research)
- ✗ BCG vaccine was developed in India
- ✓ BCG developed by Calmette and Guérin in France (1921); named after them
- ✗ India's TB elimination target is 2030 (same as SDG)
- ✓ India's target is 2025 — 5 years ahead of the global SDG 2030 target

■ MAINS ANGLE

The inconclusive PreVenTB results underscore the scientific difficulty of developing TB vaccines for adults and reinforce the need for sustained R&D investment — while India's 2025 TB elimination target demands parallel focus on DOTS, nutritional support, and drug-resistant TB management.

■ STUDY LINK

Science & Technology → Health /
Biotechnology → Vaccines, Clinical Trials, TB
Policy | GS-II → Social Sector → Health

HIGH

India GDP FY2025-26 at 7.7% (MoSPI Provisional Estimates)

GS-III Economy

■ NEWS TRIGGER

MoSPI released Provisional Estimates of National Income on 5 June 2026: India's real GDP growth for FY2025-26 = 7.7%, highest in 4 years. New base year 2022-23 adopted. GVA growth = 7.4%.

■ INTRO & ORIGIN

GDP (Gross Domestic Product) measures the total monetary value of all goods and services produced within a country in a given period. MoSPI (Ministry of Statistics & Programme Implementation) is the nodal agency for national accounts in India. India changed its base year from 2011-12 to **2022-23** in this release — a significant methodological upgrade that affects comparability of historical data.

*National income accounting in India began formally with the **National Income Committee (1949)** chaired by P.C. Mahalanobis. The Central Statistical Organisation (CSO), established in **1951**, was merged with the National Sample Survey Organisation (NSSO) to form **MoSPI** in **2006**. GDP estimates in India follow the SNA (System of National Accounts) framework recommended by the UN.*

■ TIMELINE

1949 — National Income Committee formed (chair: P.C. Mahalanobis) — India's first formal GDP estimation framework

1951 — Central Statistical Organisation (CSO) established

2006 — CSO + NSSO merged → Ministry of Statistics & Programme Implementation (MoSPI) formed

2015 — India changed base year from 2004-05 to 2011-12; shifted from factor cost to market price methodology

FY24 — India GDP growth: 8.2% (previous high)

5 Jun 2026 — MoSPI Provisional Estimates: FY26 GDP = 7.7%; new base year 2022-23 adopted

■ KEY DATA

Sector	FY26 Growth	FY25 Growth	Share in GVA
Agriculture & Allied	4.6%	4.7%	~17%
Industry (Mining, Mfg, Elec, Constr)	7.2%	6.8%	~28%
Services (Trade, Finance, Govt)	8.4%	7.6%	~55%
Real GDP	7.7%	8.2%	—
GVA at basic prices	7.4%	7.8%	—
PFCE (Private consumption)	7.3%	7.3%	~57% of GDP
GFCF (Gross Fixed Capital)	8.2%	7.5%	~33% of GDP

■ STATIC THEORY

- **GDP = GVA + Net Taxes on products** (market price vs basic price distinction)
- **PFCE** = Private Final Consumption Expenditure — household + NPISH spending; ~57% of India's GDP; largest demand-side component
- **GFCF** = Gross Fixed Capital Formation — investment in fixed assets (machines, buildings, infrastructure); proxy for private+public investment
- **Base year change**: Affects absolute GDP levels and growth rates; new 2022-23 base reflects post-COVID structural shifts, better captures services and new economy
- **GVA vs GDP**: GVA = output measure (supply side); GDP = expenditure measure (demand side); $GDP = GVA + \text{product taxes} - \text{subsidies}$
- **MoSPI** = Ministry of Statistics & Programme Implementation; under it: NSO (National Statistical Office) does economic surveys; MoSPI ≠ Ministry of Finance
- **Advance Estimates** → **Revised** → **Provisional** → **Final**: India's GDP estimation goes through 4 stages over 2.5 years

■ MUST-KNOW FACTS

1. India FY26 real GDP = 7.7% (MoSPI Provisional Estimate, 5 June 2026)
2. New base year adopted: 2022-23 (previously 2011-12)
3. GVA growth FY26 = 7.4%; Services sector led at 8.4%
4. PFCE = Private Final Consumption Expenditure (~57% of GDP)
5. GFCF = Gross Fixed Capital Formation — investment proxy (~33% of GDP)

■ UPSC TRAPS

- ✗ MoSPI is under Ministry of Finance
- ✓ MoSPI is a separate ministry (Ministry of Statistics & Programme Implementation)
- ✗ GDP = GVA (same thing)
- ✓ GDP = GVA + net product taxes; GVA is supply-side, GDP is demand-side
- ✗ India's base year for GDP is 2004-05

6. MoSPI = Ministry of Statistics & Programme Implementation (apex statistical body) 7. GDP at market price = GVA at basic prices + taxes on products – subsidies 8. India's GDP estimates: Advance → First Revised → Second Revised → Provisional → Final (4+ stages)	✓ Updated to 2011-12 in 2015; now updated to 2022-23 in 2026 ✗ 7.7% GDP growth means inflation is low ✓ 7.7% is REAL GDP (inflation-adjusted); Nominal GDP is higher; RBI forecasts inflation rising to 5.9% Q3/Q4 FY27
■ MAINS ANGLE <i>India's 7.7% FY26 GDP growth, led by services (8.4%) and rising GFCF (8.2%), signals investment-led expansion — but the simultaneous RBI inflation forecast of 5.9% by Q3 FY27 raises questions about whether rate cuts can sustain momentum without reigniting price pressures.</i>	■ STUDY LINK Economy → National Income Accounting → GDP, GVA, PFCE, GFCF → MoSPI, Base Year, Sectoral Composition

HIGH

RBI MPC June 2026 — Repo Rate Held at 5.25%

GS-III Economy
— Monetary Policy

■ NEWS TRIGGER RBI Monetary Policy Committee (MPC) in its June 2026 meeting held repo rate at 5.25% (3rd consecutive hold), maintained 'neutral' monetary stance. FY27 inflation forecast raised to 5.1%; GDP forecast held at 6.6%.	
■ INTRO & ORIGIN The Reserve Bank of India (RBI), established in 1935, is India's central bank responsible for monetary policy, currency issuance, banking regulation, and financial stability. The Monetary Policy Committee (MPC), constituted in 2016 under the RBI Act amendment, sets the policy repo rate through majority vote targeting CPI inflation of 4% (±2%). <i>RBI was established on 1 April 1935 under the Reserve Bank of India Act, 1934, based on the Hilton-Young Commission (1926) recommendations. It was nationalised in 1949. The MPC was constituted in October 2016 following the FRBM amendment — a move towards committee-based, transparent monetary policy. India adopted a flexible inflation targeting framework (FIT) with a 4% CPI target (±2% band = 2%–6%).</i>	■ TIMELINE 1926 — Hilton-Young Commission recommends creation of RBI 1 Apr 1935 — RBI established (private, Kolkata HQ) 1937 — RBI HQ shifted to Mumbai (Bombay) 1949 — RBI nationalised under Reserve Bank of India (Transfer to Public Ownership) Act 2016 — MPC constituted (Oct); Flexible Inflation Targeting (FIT) adopted; 4% CPI target Feb 2023 — Repo rate at 6.50% after multiple hikes to combat post-COVID inflation Apr 2025 — RBI begins cutting — first cut to 6.25% Jun 2026 — Repo rate = 5.25%; 3rd consecutive hold; neutral stance; FY27 inflation forecast 5.1%

■ KEY DATA

Rate / Metric	Value (Jun 2026)
Repo Rate	5.25% (held — 3rd consecutive hold)
Standing Deposit Facility (SDF)	5.00% (floor)
Marginal Standing Facility (MSF)	5.50% (ceiling)
Monetary Stance	Neutral
FY27 CPI Inflation Forecast	5.1% (annual average); Q3/Q4 → 5.9%
FY27 GDP Growth Forecast	6.6%
MPC Vote	Unanimous (6-0)
CPI Target	4% ($\pm 2\%$ band = 2%–6%)
Inflation Framework	Flexible Inflation Targeting (FIT)

■ STATIC THEORY

- **Repo Rate:** Rate at which RBI lends to commercial banks overnight (against G-Sec collateral); key policy rate
- **SDF** = Standing Deposit Facility: Floor rate (banks park excess liquidity with RBI, no collateral needed); replaced Reverse Repo as effective floor
- **MSF** = Marginal Standing Facility: Ceiling rate; banks borrow from RBI against approved G-Secs above SLR quota
- **LAF corridor:** SDF (floor) → Repo (centre) → MSF (ceiling); currently 5.00% → 5.25% → 5.50% (50 bps wide)
- **MPC composition:** 6 members — 3 RBI officials (Governor + 2 Deputy Governors / nominees) + 3 external members appointed by Central Govt; Governor has casting vote
- **Neutral stance:** RBI can move rates either way depending on data (vs accommodative = bias to cut; vs withdrawal = bias to hike)
- **Transmission:** Repo rate changes transmit to bank lending rates (MCLR / EBR-linked loans) → EMIs, home loans, corporate borrowing
- **Flexible Inflation Targeting (FIT):** Primary objective = CPI 4% $\pm 2\%$; adopted 2016; secondary = growth

■ MUST-KNOW FACTS

1. RBI established 1 April 1935; HQ Mumbai; nationalised 1949
2. MPC constituted October 2016; 6 members; 4% CPI target ($\pm 2\%$ = 2%–6% band)
3. Repo rate June 2026 = 5.25% (3rd consecutive hold); unanimous vote
4. LAF corridor: SDF 5.00% (floor) | Repo 5.25% (centre) | MSF 5.50% (ceiling)
5. Neutral stance = RBI can cut or hike depending on incoming data
6. FY27 inflation forecast = 5.1% (rising to 5.9% in Q3/Q4)
7. FY27 GDP forecast = 6.6%
8. SDF = Standing Deposit Facility (replaced reverse repo as floor; no collateral needed)

■ UPSC TRAPS

- ✗ Reverse Repo is the current floor rate of the LAF corridor
- ✓ SDF (Standing Deposit Facility) replaced Reverse Repo as the effective floor since April 2022
- ✗ MPC has 4 external members
- ✓ MPC = 3 RBI officials + 3 external (Central Govt appointed) = 6 total
- ✗ Neutral stance means rates won't change
- ✓ Neutral means data-dependent — RBI could cut OR hike; it's not a forward commitment
- ✗ CPI inflation target = 6%
- ✓ Target = 4%; upper tolerance = 6%; band = 2%–6%
- ✗ RBI was always a government body

✓ RBI started as a private entity (1935); nationalised only in 1949

■ MAINS ANGLE

The RBI's 3rd consecutive hold signals growing discomfort with rising inflation (Q3/Q4 FY27 forecast: 5.9%), even as GDP remains robust — illustrating the classic central bank dilemma of balancing growth support against price stability in a supply-constrained economy.

■ STUDY LINK

Economy → Money & Banking → RBI, Monetary Policy, MPC, LAF Corridor, Inflation Targeting

HIGH

E85 Fuel Launch — Ethanol 85% Blend

GS-III Economy
— Energy &
Environment

■ NEWS TRIGGER

Union Minister Hardeep Singh Puri launched E85 fuel (85% ethanol + 15% petrol) at 48 Indian Oil Corporation (IOC) retail outlets on 5 June 2026 (World Environment Day). E85 is ~₹20/litre cheaper than petrol and requires Flex Fuel Vehicles (FFVs).

■ INTRO & ORIGIN

E85 is a high-ethanol fuel blend containing 85% ethanol and 15% petrol (gasoline). It is a key milestone in India's Ethanol Blended Petrol (EBP) Programme, targeting energy security, lower import bills, cleaner emissions, and support for the farm sector (ethanol from sugarcane, grain). E85 requires special Flex Fuel Vehicles (FFVs) that can run on variable ethanol blends.

India's ethanol blending programme began with the **Ethanol Blended Petrol Programme (EBP)** launched in **2003** under the Ministry of Petroleum & Natural Gas. The programme mandated 5% blending initially. The **National Policy on Biofuels 2018** set a target of **20% blending by 2030**, later advanced to **2025** under the G20 Energy Transitions ministerial. India achieved the 20% E20 target ahead of schedule in FY2025.

■ TIMELINE

2003 — Ethanol Blended Petrol (EBP) Programme launched — initial 5% blending mandate

2018 — National Policy on Biofuels 2018: 20% blending target by 2030

2021 — Target advanced to 20% by 2025 (5 years ahead of schedule)

2023 — India achieves ~12% average ethanol blending (E12)

FY25 — India achieves 20% ethanol blending (E20) ahead of 2025 target

5 Jun 2026 — E85 fuel launched at 48 IOC outlets by Minister Hardeep Singh Puri on World Environment Day

■ KEY DATA

Blend	Ethanol %	Petrol %	Vehicle Required	Status
E5	5%	95%	Any petrol vehicle	Historic (2003 onwards)
E10	10%	90%	Any petrol vehicle	Widely available
E20	20%	80%	E20-compatible	Achieved FY25
E85	85%	15%	FFV (Flex Fuel Vehicle) ONLY	Launched 5 Jun 2026
E100	100%	0%	FFV only	Future target

■ STATIC THEORY

- **Flex Fuel Vehicle (FFV):** Vehicle that can run on any mixture of petrol and ethanol (E0 to E85 or E100); has wider fuel injectors, corrosion-resistant fuel lines, ECU that adjusts combustion automatically
- **Ethanol sources in India:** Sugarcane (primary: molasses, B-heavy molasses, sugarcane juice), grains (rice, maize, damaged foodgrains)
- **Benefits of ethanol blending:** (1) Reduce crude oil imports (~\$4B/year savings at E20), (2) Lower CO2 emissions (~25-30% vs petrol), (3) Higher octane = better engine performance, (4) Farmer income boost
- **EBP Programme:** Under Petroleum & Natural Gas Ministry; Oil Marketing Companies (OMCs: IOC, BPCL, HPCL) implement procurement and blending
- **National Policy on Biofuels 2018:** Categorises biofuels into Basic, Advanced, Drop-in; also covers biogas, biodiesel, bio-CNG
- **IOC** = Indian Oil Corporation (largest OMC; Navratna PSU; ~44% of petroleum retail market)

■ MUST-KNOW FACTS

1. E85 = 85% ethanol + 15% petrol; launched 5 June 2026 (World Environment Day) at 48 IOC outlets
2. E85 is ~₹20/litre cheaper than petrol; available ONLY for FFVs (Flex Fuel Vehicles)
3. India's EBP Programme started 2003; National Policy on Biofuels 2018 set 20% target
4. India achieved E20 (20% blending) in FY2025 — ahead of schedule
5. Ethanol sources: sugarcane (molasses, B-heavy, juice) + grains (rice, maize)
6. FFV = Flex Fuel Vehicle — can run on any ethanol-petrol mix from E0 to E85
7. IOC = Indian Oil Corporation — largest OMC implementing EBP

■ UPSC TRAPS

- ✗ E85 can be used in any petrol car
- ✓ E85 requires FFV (Flex Fuel Vehicle) — not compatible with ordinary petrol engines
- ✗ Ethanol in India comes only from sugarcane
- ✓ Also from grains (rice, maize, damaged foodgrains) — expanded under 2018 policy
- ✗ India targets 20% blending by 2030
- ✓ Target was ADVANCED to 2025; India ACHIEVED E20 in FY2025
- ✗ EBP Programme was launched in 2018
- ✓ EBP Programme launched in 2003; 2018 was the National Policy on Biofuels update

■ MAINS ANGLE

India's E85 launch marks a transition from blend mandates to infrastructure-led biofuel adoption — but the FFV-only requirement underscores that energy transition is as much an automotive industrial policy challenge as a fuel policy challenge.

■ STUDY LINK

Economy → Energy Policy → Biofuels, EBP Programme, Petroleum Sector | Environment → Air Pollution, Renewable Energy

HIGH

FII Ordinance 2026 — G-Sec Tax Exemption for Foreign Investors

GS-III Economy
— Capital
Markets, Taxation

■ NEWS TRIGGER

President promulgated Income-tax (Amendment) Ordinance 2026 on 5 June 2026 under Article 123, granting tax exemption to BIS and other international financial institutions on government securities (G-Secs) — retrospective from 1 April 2026.

■ INTRO & ORIGIN

The ordinance amends the Income Tax Act, 1961, to exempt specified international financial institutions (including BIS — Bank for International Settlements) from tax on income earned from Indian government securities. This is aimed at attracting long-term institutional investment into India's G-Sec market and deepening the domestic bond market.

*India's government securities (G-Sec) market is managed by the Reserve Bank of India (est. 1935). The Income Tax Act was enacted in 1961. Foreign Portfolio Investors (FPIs) were brought under SEBI regulation in 2014 when the earlier FII (Foreign Institutional Investor) regime was replaced. The Fully Accessible Route (FAR) for FPIs to invest in Indian G-Secs without limits was introduced in 2020. The **Bank for International Settlements (BIS)**, founded in 1930 in Basel, Switzerland, is the central bank of central banks.*

■ TIMELINE

1930 — BIS (Bank for International Settlements) founded in Basel, Switzerland

1935 — RBI established — manages India's G-Sec market

1961 — Income Tax Act enacted

2014 — FII regime replaced by FPI (Foreign Portfolio Investor) under SEBI (FPI) Regulations

2020 — Fully Accessible Route (FAR) introduced: FPIs can invest in select G-Secs without cap

2024 — India G-Secs included in JP Morgan EM Bond Index; Bloomberg EM index to follow

5 Jun 2026 — Income-tax (Amendment) Ordinance 2026 promulgated; BIS + intl financial institutions tax-exempt on G-Sec income; retrospective from 1 April 2026

■ KEY DATA

Aspect	Before Ordinance	After Ordinance
Tax on G-Sec income (BIS & intl bodies)	Standard withholding tax applicable	Fully EXEMPT
Scope	FPIs taxed under normal provisions	Specified international institutions exempted
Effective date	N/A	Retrospective: 1 April 2026
Legal basis	Income Tax Act, 1961	Amended by Ordinance under Article 123
Parliament session needed?	Yes (normally)	No — Ordinance route used (Parliament not in session)

■ STATIC THEORY

- **Article 123:** Presidential ordinance-making power when Parliament is not in session; must be approved by Parliament within 6 weeks of reassembly or lapses; cannot amend Constitution; has same force as an Act of Parliament
- **FII vs FPI:** FII (Foreign Institutional Investor) = old regime (SEBI 1992); replaced by FPI (Foreign Portfolio Investor) in 2014; FPI includes FIIs, QFIs, sub-accounts
- **G-Sec** = Government Security: debt instrument (bond) issued by Central/State Government through RBI auctions; sovereign guarantee
- **BIS** = Bank for International Settlements: Basel, Switzerland; est. 1930; 'central bank of central banks'; facilitates cooperation among central banks; does NOT accept deposits from public

- **JP Morgan EM Bond Index inclusion (2024):** India's G-Secs included — triggers passive FPI inflows estimated \$20–30 billion
- **Fully Accessible Route (FAR):** RBI scheme (2020) allowing unlimited FPI investment in select G-Sec tranches without sectoral cap
- **Withholding Tax:** Tax deducted at source on payments to non-residents; applicable to interest, dividends, royalties

■ MUST-KNOW FACTS

1. Ordinance type: Income-tax (Amendment) Ordinance 2026; promulgated 5 June 2026 under Article 123
2. Purpose: Tax exemption for BIS and specified international institutions on Indian G-Sec income
3. Retrospective effect from 1 April 2026
4. BIS = Bank for International Settlements; Basel, Switzerland; established 1930; 'central bank of central banks'
5. Article 123 = Presidential ordinance power (Parliament not in session); lapses after 6 weeks if not passed
6. India's G-Secs included in JP Morgan EM Bond Index (2024) — attracting global passive flows
7. FII regime (1992) replaced by FPI (Foreign Portfolio Investor) in 2014 under SEBI
8. FAR = Fully Accessible Route (2020): unlimited FPI access to select G-Secs

■ ■ UPSC TRAPS

- ✗ FII and FPI are the same thing
- ✓ FII was the old regime (SEBI 1992); FPI replaced it in 2014 and is broader (includes hedge funds, sub-accounts, QFIs)
- ✗ Article 123 ordinances are permanent
- ✓ Ordinance lapses if not approved by Parliament within 6 weeks of reassembly; needs to be converted to Bill
- ✗ BIS is a UN body
- ✓ BIS is an independent international financial institution owned by 63 central banks; NOT under UN system
- ✗ The ordinance gives BIS permission to invest in India
- ✓ Ordinance gives TAX EXEMPTION — BIS was already allowed to invest under FAR; it now gets tax relief on income
- ✗ Ordinances can amend the Constitution
- ✓ Presidential ordinances under Art. 123 CANNOT amend the Constitution (Art. 368 requires Parliament)

■ MAINS ANGLE

The G-Sec tax exemption ordinance reflects India's strategic effort to leverage JP Morgan index inclusion into sustained FPI demand — but the retrospective application and ordinance route raise questions about legislative predictability in fiscal policy.

■ STUDY LINK

Economy → Capital Markets → G-Secs, FPI/FII, RBI, Bond Market | Polity → Legislature → Art. 123, Ordinance-making Power

HIGH

India Protests Pakistan's Gilgit-Baltistan Elections

GS-II
International
Relations —
South Asia

■ NEWS TRIGGER

Pakistan held Gilgit-Baltistan (GB) Assembly elections on 7 June 2026. India formally protested, reiterating that GB is an integral part of India (part of J&K), and that Pakistan has no legal authority to hold elections in this territory.

■ INTRO & ORIGIN

■ TIMELINE

Gilgit-Baltistan is a strategically vital mountainous region in northern Pakistan-Occupied Kashmir (PoK), bordering China (Xinjiang), Afghanistan, and India (Ladakh). It is the gateway to CPEC (China-Pakistan Economic Corridor) and the Karakoram Highway. India claims GB as part of J&K, which acceded to India in October 1947 via the Instrument of Accession.

*The Maharaja of J&K, Hari Singh, signed the **Instrument of Accession on 26 October 1947**, acceding J&K (including Gilgit and Baltistan) to India on the three standard subjects. Pakistan-backed tribal militias invaded in October 1947; Pakistani forces occupied Gilgit and Baltistan. A ceasefire line was agreed in 1949 (Karachi Agreement). The **Simla Agreement (1972)** converted the ceasefire line into the **Line of Control (LoC)**. GB remains in constitutional limbo in Pakistan — neither a province nor a full constitutional territory.*

26 Oct 1947 — Maharaja Hari Singh signs Instrument of Accession — J&K (incl. GB) accedes to India

Oct–Nov 1947 — Pakistan-backed tribal invasion; Gilgit Scouts revolt; GB comes under Pakistan control

1949 — Karachi Agreement — ceasefire in J&K; UNCIP resolution calls for plebiscite (never held)

1972 — Simla Agreement — ceasefire line → Line of Control (LoC)

1974 — Pakistan merges Gilgit Agency and Baltistan into Federally Administered Northern Areas (FANA)

2009 — Pakistan passes Gilgit-Baltistan Empowerment & Self-Governance Order — gives GB a legislature but NOT full provincial status

2018 — CPEC corridor runs through GB — China's strategic interest deepens

2020 — Pakistan's 25th Constitutional Amendment Bill to grant full provincial status — WITHDRAWN

5 Aug 2019 — India's J&K Reorganisation Act: J&K divided into 2 UTs; Ladakh (incl. boundary claim over GB) made separate UT

7 Jun 2026 — GB Assembly elections held by Pakistan; India protests formally

■ KEY DATA

Dimension	India's Position	Pakistan's Position
Legal status of GB	Part of J&K; acceded to India 1947	Part of Pakistan; 'disputed' but administered by Pakistan
Basis	Instrument of Accession (26 Oct 1947)	Karachi Agreement 1949 + de facto control
Constitutional status in Pakistan	Illegally occupied	Not a full province — assembly but no Senate seats
CPEC dimension	India objects as CPEC passes through Indian territory	Pakistan says CPEC is in its sovereign territory
J&K; Reorg Act 2019	Ladakh UT includes Gilgit-Baltistan in claimed map	Pakistan protests India's territorial claim

■ STATIC THEORY

- **Instrument of Accession (1947)**: Legal document signed by princely state rulers to join India on Defence, External Affairs, and Communications (3 subjects initially)

- **CPEC** = China-Pakistan Economic Corridor: ~\$62 billion infrastructure project (2015–2030); roads, railways, pipelines, power plants; passes through GB — India objects as it crosses Indian-claimed territory
- **LoC** = Line of Control: Military ceasefire line in J&K (not an international border); created by Simla Agreement 1972; separates Indian-administered J&K/Ladakh from PoK and GB
- **PoK** = Pakistan-Occupied Kashmir (Pakistan calls it Azad Kashmir); GB is SEPARATE from PoK — it is the former Northern Areas
- **Article 370 abrogation (5 Aug 2019)**: Removed J&K's special status; J&K Reorganisation Act created 2 UTs — J&K (with legislature) and Ladakh (without legislature)
- **UNCIP Resolutions**: UN Commission for India and Pakistan called for plebiscite in 1948 — never held; India says plebiscite question is settled given Pakistan's aggression
- **Karakoram Highway (KKH)**: Strategic road linking Islamabad to Kashgar (China) through GB; built jointly by China and Pakistan 1970s; upgraded for CPEC

■ MUST-KNOW FACTS

1. Instrument of Accession signed: 26 October 1947 (Maharaja Hari Singh; J&K including GB → India)
2. GB = former Northern Areas of Pakistan; separate from PoK (Azad Kashmir); NOT a full Pakistani province
3. CPEC = China-Pakistan Economic Corridor (~\$62 billion); passes through GB; India opposes as it crosses Indian-claimed territory
4. Simla Agreement 1972 converted ceasefire line → Line of Control (LoC)
5. J&K Reorganisation Act 2019: J&K divided into 2 UTs — J&K (legislature) + Ladakh (no legislature)
6. Pakistan gives GB an elected assembly but NO Senate (upper house) seats — constitutional limbo
7. India's formal position: GB is integral part of India, part of J&K; Pakistan has no right to hold elections there

■ UPSC TRAPS

- ✗ Gilgit-Baltistan is part of PoK (Azad Kashmir)
- ✓ GB and PoK (Azad Kashmir) are SEPARATE territories; GB = former Northern Areas / Federally Administered Northern Areas (FANA)
- ✗ Simla Agreement was signed in 1947
- ✓ Simla Agreement = 1972; Instrument of Accession = 1947
- ✗ India's J&K Reorg Act 2019 dissolved LoC
- ✓ LoC continues to exist; India created Ladakh UT (which claims GB), but the territory remains under Pakistan control
- ✗ Pakistan made GB a full province in 2020
- ✓ Pakistan ATTEMPTED (25th Constitutional Amendment Bill, 2020) but WITHDREW; GB still has assembly but no Senate seats

■ MAINS ANGLE

Pakistan's recurring efforts to change GB's constitutional status — from Empowerment Order (2009) to failed provincial amendment (2020) to elections (2026) — reflect a calculated attempt to create facts on the ground, especially as CPEC deepens Chinese strategic stakes in the region.

■ STUDY LINK

International Relations → India-Pakistan → J&K Dispute, LoC, Instrument of Accession, CPEC | Polity → Art. 370, J&K Reorg Act 2019

HIGH

India-Oman CEPA — Came into Force (1 June 2026)

GS-II
International
Relations —
Trade
Agreements

■ NEWS TRIGGER

India-Oman Comprehensive Economic Partnership Agreement (CEPA) came into force on 1 June 2026. Oman grants India duty-free access on 98.08% of tariff lines. India reduces tariffs for ~98% of Oman's exports. Bilateral trade 2023-24: \$10.43 billion.

■ INTRO & ORIGIN

CEPA (Comprehensive Economic Partnership Agreement) is a broader trade deal covering goods, services, and investment — unlike a simple FTA (Free Trade Agreement) which covers only goods. India-Oman CEPA was signed in December 2025 and came into force 1 June 2026, making it the 6th Indian CEPA (after UAE, Australia, Mauritius, Japan, South Korea).

*The Gulf Cooperation Council (GCC) was established in **1981**; Oman is one of its 6 members. India-GCC trade relations date to ancient times — the Malabar Coast's spice trade routes. Formal CEPA negotiations began in **2022**. Oman, unlike Qatar or UAE, has ports **outside the Strait of Hormuz** (Salalah and Duqm Special Economic Zone) — making it strategically valuable for India's energy and trade security.*

■ TIMELINE

1981 — Gulf Cooperation Council (GCC) established — 6 members: Saudi Arabia, UAE, Qatar, Kuwait, Bahrain, Oman

Ancient–1600s — India-Oman maritime trade via Malabar spice routes; Omani diaspora in Kerala

2008 — India-GCC Framework Agreement on Economic Cooperation signed

2022 — India-Oman CEPA negotiations formally begin

Dec 2025 — India-Oman CEPA SIGNED

1 Jun 2026 — India-Oman CEPA comes into FORCE (PIB announcement in June 7 CA digest)

■ KEY DATA

Feature	India-Oman CEPA Detail
Type	CEPA — Goods + Services + Investment
Oman duty-free to India	98.08% of tariff lines (near-complete access)
India tariff reduction for Oman	~98% of Oman's export products
Bilateral trade (2023-24)	\$10.43 billion
Oman's key exports to India	Petrochemicals, LNG, metals, fertilisers
India's key exports to Oman	Textiles, machinery, electronics, food
Strategic ports	Salalah (south Oman) + Duqm SEZ — OUTSIDE Strait of Hormuz
India's 246% import surge from Oman (2023)	During Red Sea/Hormuz disruption — Oman route activated
Previous Indian CEPAs	UAE (2022), Australia (2022), Mauritius (2021), Japan (2011), South Korea (2010)

■ STATIC THEORY

- **CEPA vs FTA vs PTA:** PTA (Preferential Trade Agreement) = partial tariff reduction; FTA = free trade in goods; CEPA = goods + services + investment + IPR + competition
- **Strait of Hormuz:** Narrow strait between Oman and Iran; ~20% of global oil passes through; controlled by Iran; military/geopolitical choke point
- **Duqm Special Economic Zone (SEZ):** On Oman's southern coast (Arabian Sea, NOT Persian Gulf); India signed connectivity agreement for Duqm; allows Indian naval access

- **GCC** = Gulf Cooperation Council: Saudi Arabia, UAE, Qatar, Kuwait, Bahrain, Oman; HQ Riyadh; India's largest trading bloc (~\$160 billion bilateral trade)
- **Mode 4 services**: Movement of natural persons (professionals) across borders; key Indian interest in all CEPAs (IT services, healthcare workers)
- **India's Act West Policy**: Deepening economic and strategic engagement with Gulf/West Asia alongside Act East (Southeast Asia, Pacific)

■ MUST-KNOW FACTS

1. India-Oman CEPA signed December 2025; in force 1 June 2026
2. Oman grants 98.08% tariff-free access to India; India reciprocates ~98% for Oman exports
3. Bilateral trade 2023-24: \$10.43 billion
4. Oman's strategic value: Salalah + Duqm ports are OUTSIDE Strait of Hormuz — India's Hormuz bypass
5. GCC established 1981; 6 members; India-GCC bilateral trade ~\$160 billion/year
6. India's previous CEPAs: UAE (2022), Australia (2022), Mauritius (2021), Japan (2011), South Korea (2010)
7. CEPA = broader than FTA (covers goods + services + investment); PTA < FTA < CEPA
8. India's imports from Oman surged 246% in 2023 during Red Sea/Hormuz disruption — Oman route as bypass

■ UPSC TRAPS

- ✗ Oman is part of OPEC
- ✓ Oman is NOT in OPEC; it cooperates with OPEC+ but is not a formal member
- ✗ Strait of Hormuz borders Saudi Arabia and UAE
- ✓ Strait of Hormuz is between Oman (and UAE) on one side and Iran on the other — Iran has dominant strategic control
- ✗ CEPA and FTA are the same
- ✓ CEPA is broader — covers services, investment, IPR; FTA mainly covers goods tariffs
- ✗ India's first CEPA was with Japan
- ✓ India signed CEPAs with Japan (2011) and South Korea (2010), but the MODERN CEPA format was India-Mauritius (2021); UAE was the first major CEPA (2022)

■ MAINS ANGLE

India-Oman CEPA is not merely a trade agreement — its strategic value lies in Oman's Hormuz-bypass ports (Salalah, Duqm), making it India's insurance policy against potential Gulf energy chokepoints while deepening the Act West dimension of India's neighbourhood diplomacy.

■ STUDY LINK

International Relations → Trade Diplomacy → CEPAs, FTAs, GCC, Gulf Strategy | Economy → Trade Policy → WTO, Trade Agreements

HIGH

Project Glasswing — AI-Assisted Cyber Threat Intelligence (Anthropic)

GS-III Science & Technology — Cybersecurity, AI

■ NEWS TRIGGER

Anthropic's Project Glasswing (codenamed Claude Mythos) uses AI to map and analyse global cyber threat actor networks. Indian cybersecurity agencies (CERT-In, NCIIPC) are assessing integration. Raises questions about AI in offensive vs defensive cybersecurity.

■ INTRO & ORIGIN

■ TIMELINE

Project Glasswing is Anthropic's AI-powered threat intelligence system that maps cyber threat actor networks — identifying hacker groups, their tools, techniques, and procedures (TTPs). India's cybersecurity infrastructure (CERT-In, NCIIPC, I4C) is considering integration with such AI tools for proactive cyber defence. The project raises critical dual-use dilemmas: AI that can map threats can also be used to launch them.

Anthropic was founded in **2021** by former OpenAI members (Dario Amodei and Daniela Amodei) and focuses on AI safety. **CERT-In** (Computer Emergency Response Team - India) was established under the **IT Act, 2000**, operationalised in **2004**, under **MeitY** (Ministry of Electronics & Information Technology). **NCIIPC** (National Critical Information Infrastructure Protection Centre) was established in **2014** under the **NTRO** (National Technical Research Organisation), under the Prime Minister's Office (PMO). **I4C** (Indian Cyber Crime Coordination Centre) was set up in **2020** under the **Ministry of Home Affairs (MHA)**.

2000 — IT Act 2000 enacted — legal basis for CERT-In

2004 — CERT-In operationalised under MeitY — India's nodal cyber incident response agency

2013 — National Cyber Security Policy 2013 — India's first comprehensive cyber strategy

2014 — NCIIPC established under NTRO (PMO) — protects critical national infrastructure

2020 — I4C (Indian Cyber Crime Coordination Centre) set up under MHA — coordinates cybercrime investigations

2021 — Anthropic founded by Dario & Daniela Amodei (ex-OpenAI); Claude AI model family

2022 — India's Cyber Security Strategy draft released; RBI, SEBI issue sector-specific guidelines

Jun 2026 — Project Glasswing / Claude Mythos revealed; Indian agencies assessing AI threat intelligence integration

■ KEY DATA

Agency	Full Name	Under	Established	Function
CERT-In	Computer Emergency Response Team - India	MeitY	2004	Cyber incident response; issues alerts; coordinates with industry
NCIIPC	National Critical Information Infrastructure Protection Centre	NTRO / PMO	2014	Protects CII sectors (power, banking, telecom, defence)
I4C	Indian Cyber Crime Coordination Centre	MHA	2020	Coordinates cybercrime law enforcement; National Cybercrime Reporting Portal
NTRO	National Technical Research Organisation	PMO (RAW oversight)	2004	Technical intelligence; NCIIPC parent body
MeitY	Ministry of Electronics & Information Technology	Govt of India	2017 (rebranded)	IT policy, CERT-In, digital infrastructure

■ STATIC THEORY

- **Critical Information Infrastructure (CII):** Systems whose incapacitation would cripple national security, economy, or public health — power grids, telecom, banking, defence, space
- **IT Act 2000 (amended 2008):** Sections 43, 66, 66A-F — cyber crimes; Section 70 — CII protection; Section 70B — CERT-In
- **Personal Data Protection / DPDP Act 2023:** Governs data localisation; relevant to cross-border AI tools like Glasswing
- **Budapest Convention:** International treaty on cybercrime (2001); India is NOT a signatory (sovereignty concerns)
- **Dual-use dilemma in AI:** Same AI that defends can attack — mapping threat actors also enables targeting them; adversarial AI
- **APT** = Advanced Persistent Threat: State-sponsored long-term cyber espionage campaigns (APT28 = Russia, APT41 = China, etc.)
- **TTP** = Tactics, Techniques, Procedures: Cybersecurity framework (MITRE ATT&CK) for classifying adversary behaviour

■ MUST-KNOW FACTS

1. CERT-In: under MeitY; established 2004 (IT Act 2000 basis); cyber incident response
2. NCIIPC: under NTRO/PMO; established 2014; protects Critical Information Infrastructure
3. I4C: under MHA; established 2020; cybercrime coordination; runs National Cybercrime Reporting Portal
4. Anthropic founded 2021 (Dario + Daniela Amodei, ex-OpenAI); AI safety focused; Claude model family
5. Project Glasswing = AI-powered threat intelligence; maps cyber threat actor networks
6. India NOT a signatory to Budapest Convention (2001) on cybercrime
7. DPDP Act 2023 = India's data protection law; key constraint on cross-border AI data sharing
8. CII = Critical Information Infrastructure; IT Act Section 70 governs CII protection

■ UPSC TRAPS

- ✗ CERT-In is under MHA (Home Ministry)
- ✓ CERT-In is under MeitY (Ministry of Electronics & IT); I4C is under MHA
- ✗ NCIIPC is under MeitY
- ✓ NCIIPC is under NTRO, which is under the PMO
- ✗ India is a signatory to Budapest Convention
- ✓ India has NOT signed the Budapest Convention on Cybercrime (sovereignty and data localisation concerns)
- ✗ I4C was established in 2014
- ✓ I4C was set up in 2020; NCIIPC was established in 2014

■ MAINS ANGLE

AI-powered threat intelligence like Project Glasswing offers India a force-multiplier in cyber defence — but embedding a US private AI firm's tools in critical national infrastructure raises sovereignty, data localisation, and dual-use concerns that CERT-In and NCIIPC must navigate within India's emerging cyber governance framework.

■ STUDY LINK

Science & Technology → Cybersecurity → CERT-In, NCIIPC, I4C, IT Act | GS-III → Internal Security → Cyber Threats

HIGH

PM Modi–Myanmar President Meeting (1 June 2026)

GS-II
International
Relations —
Neighbourhood

■ NEWS TRIGGER

PM Modi met Myanmar President U Min Aung Hlaing in New Delhi on 1 June 2026 — the junta leader's first foreign visit since the 2021 coup. Key agenda: Kaladan Multi-Modal Transit Transport Project, border security, NE insurgency, India-Myanmar Free Movement Regime (FMR) revision.

■ INTRO & ORIGIN

India-Myanmar relations are central to India's Act East Policy. Myanmar shares a 1,643 km land border with 4 Indian states (Arunachal Pradesh, Nagaland, Manipur, Mizoram) and is the land bridge to Southeast Asia. The 2021 coup and Arakan Army insurgency have disrupted key connectivity projects, particularly the Kaladan Multimodal project in Rakhine State.

India's **Look East Policy** was launched in **1991** by PM Narasimha Rao — focusing on Southeast Asia for economic integration post-Cold War. It was upgraded to **Act East Policy** in **2014** by PM Modi (ASEAN Summit, Myanmar), shifting from trade to include security, connectivity, and civilisational linkages. The **Kaladan Multi-Modal Transit Transport Project** was conceptualised in **2008** and is India's primary connectivity corridor to Northeast India via Myanmar.

■ TIMELINE

1991 — Look East Policy launched (PM Narasimha Rao) — India's pivot to Southeast Asia

2008 — Kaladan Multi-Modal Transit Transport Project MOU signed (India-Myanmar)

2010 — Sittwe Port (Myanmar) constructed by India — operational from 2023

2014 — Act East Policy announced by PM Modi at ASEAN Summit (Myanmar)

Feb 2021 — Myanmar military coup — General Min Aung Hlaing seizes power; Aung San Suu Kyi detained

2023 — Sittwe Port formally operationalised; Kaladan waterway segment functional

Late 2023 — Arakan Army captures Paletwa and large parts of Chin State / Rakhine — disrupts Kaladan road segment

1 Jun 2026 — PM Modi meets U Min Aung Hlaing — first foreign visit by Myanmar junta leader; Kaladan, FMR, security discussed

■ KEY DATA

Kaladan Project Segment	Route	Length	Status (June 2026)
Sea leg	Kolkata port → Sittwe Port (Rakhine, Myanmar)	~539 km	Operational (2023)
River leg	Sittwe → Paletwa (Kaladan River)	~158 km	Operational (river IWT)
Road leg (critical)	Paletwa → Zorinpui (India-Myanmar border)	~109 km	~20 km done; ~89 km pending; Arakan Army control
India leg	Zorinpui → Lawngtlai (Mizoram)	~100 km	Complete

■ STATIC THEORY

- **Look East Policy (1991)**: Narasimha Rao; focus = economic integration with ASEAN; diplomatic outreach post-Cold War; India joins ASEAN RFP, ARF
- **Act East Policy (2014)**: Modi at ASEAN Summit; expands scope — Security + Connectivity + Culture; 3Cs framework; partner includes not just ASEAN but East Asia (Japan, South Korea, Australia)

- **Kaladan Multimodal Project:** Kolkata → Sittwe (sea) → Paletwa (river IWT) → Zorinpui (road) → Mizoram (India); alternative route to NE India bypassing Chicken's Neck (Siliguri Corridor)
- **Free Movement Regime (FMR):** Allows people living within 16 km of India-Myanmar border to cross without passport (visa-free); India announced revision/scrapping in 2023 due to drug trafficking and insurgent movement concerns
- **Arakan Army (AA):** Ethnic armed organisation of Rakhine (Arakan) people in Myanmar; controls much of Rakhine State and parts of Chin State — including Paletwa area critical for Kaladan road
- **String of Pearls theory:** China's strategic port access network around India — Gwadar (Pakistan), Hambantota (Sri Lanka), Kyaukpyu (Myanmar), Chittagong (Bangladesh)
- **Chicken's Neck / Siliguri Corridor:** 22 km wide land corridor connecting NE India to mainland India; Kaladan project provides strategic alternative

■ MUST-KNOW FACTS

1. PM Modi-Myanmar meeting: 1 June 2026; U Min Aung Hlaing's first foreign visit since Feb 2021 coup
2. Kaladan: 4 segments — Sea (Kolkata→Sittwe) + River (Sittwe→Paletwa) + Road (Paletwa→Zorinpui, 109km, only 20km done) + India road (Zorinpui→Lawngtlai)
3. Arakan Army controls Paletwa area — critical blockage for Kaladan road segment (expected completion 2027)
4. Sittwe Port: Constructed by India; operational 2023; in Rakhine State
5. Look East Policy = 1991 (Narasimha Rao); Act East Policy = 2014 (Modi, ASEAN Summit, Myanmar)
6. India-Myanmar border: 1,643 km; 4 states (Arunachal Pradesh, Nagaland, Manipur, Mizoram)
7. FMR = Free Movement Regime (16 km either side of border; India revising/scrapping 2023 onwards)
8. Kyaukpyu Port (Myanmar): China-built; String of Pearls; India's Sittwe is India's counter-presence

■ UPSC TRAPS

- ✗ Act East Policy was launched in 1991
- ✓ Look East Policy = 1991 (Narasimha Rao); Act East Policy = 2014 (PM Modi)
- ✗ Kaladan project connects India to Bangladesh
- ✓ Kaladan connects India (Kolkata/Mizoram) to Myanmar's Rakhine State via Sittwe Port — not Bangladesh
- ✗ Sittwe Port is on India's coast
- ✓ Sittwe is in Myanmar's Rakhine State — India BUILT it to use as a transit hub
- ✗ Arakan Army is pro-India
- ✓ Arakan Army's primary fight is against the Myanmar military junta for Rakhine autonomy — it's not pro-India; it controls the Kaladan road area, creating a blockage
- ✗ FMR allows unlimited cross-border movement
- ✓ FMR = only 16 km either side; now being revised by India due to drug trafficking and insurgency concerns

■ MAINS ANGLE

India's engagement with Myanmar's junta reflects a classic realist dilemma — democratic values vs strategic imperatives. The Kaladan project's stalled road segment symbolises how non-state armed actors (Arakan Army) can hold strategic connectivity projects hostage, forcing India to balance diplomatic principle against infrastructure necessity.

■ STUDY LINK

International Relations → Neighbourhood Policy → Act East, Myanmar, NE Connectivity | Internal Security → Border Management, Insurgency

HIGH

Nepal FM Shishir Khanal's India Visit — Bilateral Reset

■ NEWS TRIGGER

Nepal Foreign Minister Shishir Khanal visited India (6–7 June 2026) — the new Oli government's first senior diplomatic engagement with India. India handed over 72 health and 12 cultural projects. UPI-NPI (Nepal Payments Interface) linkage reaffirmed. 'No old baggage' diplomatic reset signalled.

■ INTRO & ORIGIN

India-Nepal relations are defined by a 'Special Relationship' — open border, shared culture, and economic interdependence — but are frequently strained by territorial disputes (Kalapani, Lipulekh, Limpiyadhura), the 1950 Treaty of Peace and Friendship (which Nepal considers unequal), and China's expanding presence. The new Oli government (December 2025) signalled a pragmatic bilateral reset.

*The **India-Nepal Treaty of Peace and Friendship** was signed on **31 July 1950** — it allows citizens of both countries to live, work, and own property in each other's countries. The **open border** (Roti-Beti relationship) reflects deep civilisational ties. However, Nepal's **Kalapani dispute** flared after India released its new political map in **November 2019** showing Kalapani, Lipulekh, and Limpiyadhura as Indian territory; Nepal responded with its own new map in **May 2020** claiming the same areas.*

■ TIMELINE

31 Jul 1950 — India-Nepal Treaty of Peace and Friendship signed — open border, reciprocal work rights

1960 — King Mahendra's Panchayat system — Nepal tilts toward China briefly; India's leverage tested

2015 — India's economic blockade (undeclared) during Nepal's post-earthquake constitutional crisis — major trust deficit

Nov 2019 — India's new political map shows Kalapani-Lipulekh-Limpiyadhura as Indian territory

May 2020 — Nepal releases new map claiming same areas; constitutional amendment to incorporate new map

2022 — UPI-NPI (Nepal Payments Interface) pilot linkage with India's UPI announced

Dec 2025 — KP Sharma Oli returns as Nepal PM (4th term) — pragmatic India-engagement signalled

6–7 Jun 2026 — Nepal FM Shishir Khanal visits India; 84 development projects handed over; UPI-NPI reaffirmed; 'no old baggage' stance

■ KEY DATA

Issue	India's Position	Nepal's Position
Kalapani-Lipulekh-Limpiyadhura	Integral part of India (Uttarakhand)	Historical territory of Nepal; demands return
1950 Treaty	Foundation of special relationship	Unequal; calls for revision or replacement
Hydropower	Buys Nepal power; Arun III project	Wants better prices; infrastructure support
China factor	Concerned about Nepal-China BRI links	Balancing India and China for leverage

Issue	India's Position	Nepal's Position
Open border	Positive for people-to-people ties	Also allows infiltration; calls for regulation
UPI-NPI	Promotes remittance/tourism payments	Improves financial integration; positive

■ STATIC THEORY

- **India-Nepal 1950 Treaty:** Open border, free movement of persons and goods; reciprocal work rights; Nepal's critics say it limits sovereignty (similar to pre-partition border conditions)
- **Kalapani dispute:** Located at India-Nepal-China trijunction; strategic — controls Lipulekh Pass (key to Kailash Mansarovar route and trade with Tibet); India built road to Lipulekh in 2020, triggering Nepal's map controversy
- **Nepali Gurkhas:** ~30,000 Gurkhas serve in Indian Army; Agnipath scheme's applicability to Nepali Gurkhas is a bilateral issue
- **UPI-NPI:** UPI (Unified Payments Interface) = India's NPCI product; NPI (Nepal Payments Interface) = NPA Nepal; linkage enables cross-border digital payments — remittance simplification (Nepal receives ~\$10 billion/year remittances, India is key source)
- **BIMSTEC vs SAARC:** India has pivoted from SAARC (Pakistan blocks) to BIMSTEC (Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation) — Nepal, Bhutan, India, Bangladesh, Myanmar, Sri Lanka, Thailand
- **Hydropower:** Nepal's enormous hydro potential (~83,000 MW estimated); India's key interest in importing surplus; Arun III (900 MW, SJVN), Upper Karnali (900 MW, GMR)

■ MUST-KNOW FACTS

1. Nepal FM Shishir Khanal visited India 6–7 June 2026; Oli government's first major India engagement
2. India handed over 72 health projects + 12 cultural projects to Nepal
3. UPI-NPI linkage = India's UPI connected with Nepal Payments Interface; enables cross-border digital payments
4. 1950 Treaty (31 July 1950): Open border, reciprocal residence/work rights; Nepal calls it unequal
5. Kalapani-Lipulekh-Limpiyadhura: Trijunction India-Nepal-China; disputed since 2019-20 map controversy
6. India built Lipulekh road (2020) → Nepal's constitutional map amendment claiming the area
7. SAARC paralysed (Pakistan); India pivoted to BIMSTEC (7 members including Nepal and Myanmar)
8. Nepal's Gurkhas in Indian Army (~30,000): Agnipath applicability = bilateral issue

■ UPSC TRAPS

- ✗ Nepal is a member of BIMSTEC but not SAARC
- ✓ Nepal is a member of BOTH SAARC and BIMSTEC
- ✗ India's 2019 map showed Kalapani added as new territory
- ✓ India's 2019 map was a political map update; India has ALWAYS claimed Kalapani — the map dispute is about cartographic articulation, not a new claim
- ✗ UPI and NPI are the same system
- ✓ UPI is India's NPCI product; NPI (Nepal Payments Interface) is Nepal's system; the LINKAGE connects them for cross-border use
- ✗ 1950 Treaty was signed during Nehru-Nepal monarchy era
- ✓ 1950 Treaty was between Republic of India and King Tribhuvan of Nepal (not Nehru-directly, but Nehru was PM); it was a bilateral state treaty

■ MAINS ANGLE

Nepal's 'no old baggage' diplomatic reset reflects the pragmatic logic of Kathmandu's China-India balancing act — India can neither ignore Nepal's China pivot risk nor afford to press on territorial disputes, making development project delivery and digital integration the primary levers of soft power consolidation.

■ STUDY LINK

International Relations → Neighbourhood Policy → India-Nepal → 1950 Treaty, Kalapani, UPI-NPI, BIMSTEC

■ NEWS TRIGGER

Constitution (131st Amendment) Bill 2026 introduced in Lok Sabha (April 2026) to expand Lok Sabha from 543 to 850 seats and allow delimitation using 2011 Census data. Bill FAILED to achieve required 2/3rd special majority + state ratification. Companion Delimitation Bill 2026 also withdrawn.

■ INTRO & ORIGIN

Delimitation is the process of redrawing constituency boundaries and reallocating parliamentary/assembly seats between states based on the latest Census data. India's seats have been frozen at 1971 Census levels since 1976 (42nd Amendment), creating severe malapportionment — UP's 80 seats represents ~240 million people while Kerala's 20 seats represents ~36 million. The 131st Amendment sought to fix this but triggered a North-South political fault line.

The **Delimitation Act, 2002** governs the current process, creating Delimitation Commissions after each Census. However, **42nd Amendment (1976)** froze seat totals at 1971 Census levels until 2001, and **84th Amendment (2001)** extended the freeze until the first Census after 2026. The **106th Amendment (2023)** (Women's Reservation) is conditional on delimitation — making the 131st Amendment the key that unlocks 33% reservation in Parliament. The current Lok Sabha has **543 seats** (104th Amendment, 2020, removed 2 nominated Anglo-Indian seats).

■ TIMELINE

1950 — Constitution adopted; Article 81: Lok Sabha max 552 seats; Article 82: Delimitation after every Census

1971 — Last Census used for Lok Sabha seat allocation (still the basis today)

1976 — 42nd Amendment: Seats frozen at 1971 Census levels until 2001 (to incentivise population control)

2001 — 84th Amendment: Freeze extended until first Census after 2026

2002 — Delimitation Act 2002 enacted; Delimitation Commission redraws internal boundaries (2008) without changing state seat totals

2020 — 104th Amendment: Removed 2 Anglo-Indian nominated seats; Lok Sabha = 543 (directly elected)

Sep 2023 — 106th Amendment (Women's Reservation Act): 33% reservation in Lok Sabha + State Assemblies — but operative only AFTER delimitation

Apr 2026 — 131st Amendment Bill introduced: Lok Sabha 543 → 850; use 2011 Census; FAILED (did not get 2/3 majority + state ratification)

Apr–May 2026 — Companion Delimitation Bill 2026 also withdrawn after 131st Amendment fails

■ KEY DATA

State	Current Seats	Proposed Seats	Gain	Share (Current)	Share (Proposed)
Uttar Pradesh	80	~120	+40	14.7%	14.1%
Tamil Nadu	39	~59	+20	7.2%	6.9%

State	Current Seats	Proposed Seats	Gain	Share (Current)	Share (Proposed)
Karnataka	28	~42	+14	5.2%	4.9%
Kerala	20	~30	+10	3.7%	3.5%
Bihar	40	~60	+20	7.4%	7.1%
Maharashtra	48	~70	+22	8.8%	8.2%
Total (proposed)	543	850	+307	—	—

■ STATIC THEORY

- **Article 81:** Composition of Lok Sabha — maximum 530 from states + 20 from UTs (previously also 2 Anglo-Indian nominated, removed by 104th Amendment 2020)
- **Article 82:** Parliament shall by law readjust the allocation of seats after each Census (but constrained by 42nd and 84th Amendments)
- **Article 334A:** Introduced by 106th Amendment — women's reservation; operative only after delimitation is conducted using post-2026 Census data
- **Types of Constitutional Amendment (Article 368):**
 - (1) Simple majority: Changes not needing Art. 368 (e.g., new state creation)
 - (2) Special majority: 2/3 of members present & voting + majority of total membership
 - (3) Special majority + State ratification: Changes affecting federal structure — at least HALF of State Legislatures must ratify; THIS was required for 131st Amendment
- **Delimitation Commission:** Quasi-judicial body; headed by retired Supreme Court Judge + CEC + State Election Commissioners; orders have force of law; NOT challengeable in court
- **Why South fears delimitation:** Southern states invested in family planning/education → lower population growth → proportionally fewer seats relative to northern states post-delimitation

■ MUST-KNOW FACTS

1. 131st Constitutional Amendment Bill 2026: Lok Sabha 543 → 850 (815 from states + 35 from UTs)
2. Articles amended: 81 (LS composition), 82 (delimitation), 334A (women's reservation)
3. Census to be used: 2011 (removes requirement for post-2026 Census)
4. Amendment type required: Special majority + ratification by at least half the state legislatures
5. Bill FAILED: Did not achieve 2/3rd special majority in Lok Sabha (April 2026)
6. Companion Delimitation Bill 2026 also withdrawn
7. 106th Amendment (2023): 33% women's reservation — operative ONLY after delimitation (= why 131st was critical)
8. Current Lok Sabha = 543 seats (directly elected; 104th Amendment 2020 removed Anglo-Indian nominated seats)

■ UPSC TRAPS

- ✗ Current Lok Sabha has 550 seats
- ✓ 543 directly elected seats; Anglo-Indian nominated seats (2) removed by 104th Amendment 2020
- ✗ 131st Amendment only requires special majority (2/3 vote)
- ✓ Also requires ratification by at least HALF of State Legislatures (changes Article 81 which affects states' representation)
- ✗ Delimitation Commission orders can be challenged in High Court
- ✓ Delimitation Commission orders have force of law and are specifically IMMUNE to judicial review
- ✗ Women's reservation is already active (post 106th Amendment 2023)
- ✓ Operative ONLY after delimitation; without 131st Amendment passing, delimitation is stalled

9. Seat freeze history: 42nd Amendment (1976) froze at 1971 levels; 84th Amendment (2001) extended to post-2026

✗ 84th Amendment froze seats until 2021

✓ Frozen until first Census AFTER 2026 (not 2021)

✗ Southern states will LOSE seats after delimitation

✓ No state loses seats; all gain seats — but relative SHARE of southern states may decline as northern states gain proportionally more

■ MAINS ANGLE

The failure of the 131st Amendment reveals India's most profound federal tension: democratic representativeness demands aligning seats with population, but equity demands recognising that southern states should not be penalised for their developmental success — a dilemma that no simple constitutional formula can resolve.

■ STUDY LINK

Polity → Parliament → Lok Sabha, Article 81/82/334A, Constitutional Amendments, Article 368, Delimitation | Elections → ECI, Delimitation Commission

End of Register Notes — UPSC Agent / Copilot CLI